THE INVESTigator

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EMERGENCY OR CONTINGENCY FUND

Around the world, the current pandemic has made everyone realize the significance of emergency fund. It has become the most discussed topic today and the recommended size of emergency fund has also changed. Earlier it was 2-3 months of expenses, but in a post Covid-19 scenario the recommended size of emergency fund has increased to 5-6 months of expenses.

An emergency fund, by its intrinsic nature, is meant to urgently cater to the unexpected and therefore the money should be instantly available. The first recommended product is Bank FD. However, if the investor wants to opt for mutual funds then he should go for Liquid Funds or Money Market Funds.

Liquid Funds primarily invest in money market instruments like commercial papers (CP), treasury bills (T-bills) and certificate of deposit(CD) with low maturity period.

Money Market Funds also invest in same types of securities but with slightly higher average maturity of less than one year. The average maturity of these funds is mostly between 120 days and 300 days.

Investors with investment horizon of 6 months to 1 year can park funds in Money Market Funds.

NAME	AUM (Rs Cr)	RETURNS(%)	
		6 Mths	1 Year
ABSL MONEY MANAGER FUND	8422	4.24	8.15
AXIS MONEY MARKET FUND	674	3.99	-
DSP SAVINGS FUND	1586	3.70	7.62
HDFC MONEY MARKET FUND	7592	4.22	8.23
ICICI PRU MONEY MARKET FUND	6849	3.99	7.82
KOTAK MONEY MARKET SCHEME	7953	3.50	7.34
NIPPON MONEY MARKET FUND	4218	3.74	7.66
SBI SAVINGS FUND	13222	3.55	7.43
TATA MONEY MARKET FUND	287	4.03	7.78

AUM as on 31 May 2020 & Absolute Returns as on 25 June 2020

EXTENDED

Last Date for Investments under Chapter VI-A-B of IT Act Extended till 31st July 2020

The Ministry of Finance has issued an Ordinance which states as under –

"The date for making various investment/payment for claiming deduction under Chapter VI-A-B of IT Act which includes Section 80C, 80D, 80G etc has been extended till 31st July 2020. Hence the payment/investment can be made up to 31.07.2020 for claiming the deductions under these Sections for FY 2019-20."

FLOATING RATE SAVINGS BOND 2020 (TAXABLE)

Government of India has launched these Bonds from 01 July 2020 to enable Resident Indians / HUF to invest in a Floating Rate instrument without any monetary ceiling. The broad features of the scheme are given below:

NAME OF BOND	FLOATING RATE SAVINGS BOND 2020 (TAXABLE)
Who Can Invest?	Individual, HUF only
Minimum/Maximum Investment	Rs.1000/-& in multiples thereof. No upper limit.
Repayment / Tenor	Tenor is 7 years. Premature redemption shall be allowed to specified categories of senior citizens.
Interest payment option	**Only Non-Cumulative option available.** Interest payable Half Yearly on 1st January and 1st July every year. The coupon on 1st January 2021 shall be paid at **7.15%p.a.** The interest rate will be reset every six months. CUMMULATIVE OPTION IS NOT AVAILABLE.
Tax Benefit	Interest will be taxable according to the tax status of the Bond holder. Income Tax will be deducted at source while interest is paid.
Forms of Bonds	Electronic form in the account called Bond Ledger Account (BLA).
Transferability	The Bonds are not tradable / transferable. **Also, the Bonds shall NOT be eligible as collateral for loans.**

STAMP DUTY ON MF PURCHASE TRANSACTIONS

- From 1 July 2020, stamp duty will be imposed on the purchase of mutual funds. The duty will be applicable on all categories of MF (Equity, Debt, Liquid, etc.)
- The stamp duty will apply to all kinds of MF purchase transactions like lump sum, SIP, STP, switches and dividend reinvestment. **It will not be applicable on redemptions.**
- **Stamp Duty rate is 0.005%. It means on a purchase of Rs 1 lakh, the stamp duty will be Rs 5.**
- Mutual Fund shall deduct the Stamp Duty from the subscription amount paid by the investor and allot units for the balance amount

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